

Occurs when a country's total imports of goods, services and transfers is greater than the country's total export of goods, services and transfers. This situation makes a country a net debtor to the rest of the world.

Current Account Deficit'

A substantial current account deficit is not necessarily a bad thing for certain countries. Developing countries may run a current account deficit in the short term to increase local productivity and exports in the future.

Gross domestic production

Definition of 'Gross Domestic Product - GDP'

The monetary value of all the finished goods and services produced within a country's borders in a specific time period, though GDP is usually calculated on an annual basis. It includes all of private and public consumption, government outlays, investments and exports less imports that occur within a defined territory.

$$GDP = C + G + I + NX$$